Amberwood Technologies Corp. (PRG) - Form 10-K

FY2024

Amberwood Technologies Corp.

Form 10-K for the Fiscal Year Ended 2024

Ticker: PRG | Sector: Information Technology | HQ: Florida

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Amberwood Technologies Corp. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Our Business

Amberwood Technologies Corp. ("Amberwood," "we," "our," or "us") is a diversified technology company headquartered in Florida. We design, develop, and support vertical software and technology-enabled instruments for a range of defensible niche end markets, including healthcare, education, government, and industrial end markets. Our strategy centers on acquiring and operating businesses that combine high recurring revenue, strong incremental margins, and durable competitive positions, then supporting those businesses with capital and operating discipline rather than integrating them into a single product line.

We are organized around three reportable segments:

Software Solutions - cloud-based and on-premise software used by customers in healthcare, education, government, and professional-services end markets to manage scheduling, compliance, billing, and case or record management.

Network Solutions - software-enabled marketplaces and data platforms that connect buyers and sellers of transportation capacity, insurance distribution, and supply chain services.

Technology-Enabled Instruments - precision measurement, diagnostic, and monitoring instruments sold into healthcare, industrial, and research end markets.

For the fiscal year ended December 31, 2024, we generated net revenues of $5,825.6 million. Substantially all of our growth over time has come from acquiring complementary software and instrumentation businesses and from organic expansion within our existing niche markets; goodwill and acquired intangible assets together represented approximately 88.7% of our total assets at year end, reflecting the acquisitive nature of our growth strategy.

Recent Acquisition

During fiscal 2024, we completed the acquisition of Dunmore Technologies, Inc., a technology-enabled instruments business, to add a durable, high-margin niche instrumentation business to our portfolio. Consistent with our decentralized operating model, Dunmore is operated as a standalone business.

Competition

We compete with other providers of specialized software and instrumentation, ranging from small private companies focused on a single niche to larger diversified technology companies. We believe the principal competitive factors in our markets are the depth of domain expertise embedded in our products, the cost of switching away from an incumbent system once it is integrated into a customer's workflow, and the breadth of our service and support offering.

Human Capital

We employ a workforce distributed across our operating businesses, each of which generally manages its own hiring, compensation, and talent development within company-wide policies on compensation philosophy, equal employment opportunity, and workplace safety. We believe our decentralized operating model allows each business to compete effectively for specialized technical and engineering talent in its own niche market.

Available Information

Amberwood Technologies Corp. is a Delaware corporation. Our principal executive offices are located in Florida.

Item 1A. Risk Factors

Risks Related to Our Business and Growth Strategy

Our growth strategy depends on identifying and successfully integrating acquisitions, and we may not be able to continue to find suitable acquisition targets on acceptable terms. We have grown in large part through acquiring software and technology-enabled instrumentation businesses, and goodwill and acquired intangible assets together represented approximately 88.7% of our total assets as of December 31, 2024. If future acquisitions are unavailable on acceptable terms, or if we fail to realize the anticipated benefits of past or future acquisitions, our rate of revenue and earnings growth could decline.

A significant impairment of our goodwill or intangible assets could adversely affect our results of operations. We test goodwill and indefinite-lived intangible assets for impairment at least annually. Because a substantial majority of our total assets consists of goodwill and acquired intangible assets, a deterioration in the performance or outlook of one or more of our reporting units could require us to recognize a material non-cash impairment charge.

Our decentralized operating model may limit our ability to realize cost synergies and could result in inconsistent operating practices across our businesses. We generally operate our businesses with a high degree of operating autonomy. While we believe this approach supports entrepreneurial decision-making close to the customer, it also means that operating practices, including aspects of internal controls and cybersecurity practices, can vary across businesses, which could increase the risk that an issue at one business is not identified or remediated as quickly as it would be under a more centralized model.

We may not realize the anticipated benefits of our acquisition of Dunmore Technologies, Inc. completed during fiscal 2024. Integrating an acquired business, even one operated on a standalone basis under our decentralized model, involves risks including the diversion of management attention, the potential loss of key employees or customer relationships of the acquired business, and the possibility that the business does not perform as expected. If Dunmore does not perform in line with our expectations, our results of operations could be adversely affected.

Risks Related to Competition and Our Markets

We face competition from both larger diversified technology companies and smaller niche competitors. Some of our competitors have greater financial, technical, and marketing resources than we do, while others compete only in a single niche market and may be able to respond more quickly to changes in customer requirements. If we are unable to compete effectively, our revenue and margins could decline.

Our revenue is concentrated in a number of specialized vertical markets, and a downturn in any of those markets could disproportionately affect our results. Because we focus on defensible niche markets rather than broad horizontal markets, adverse developments specific to the healthcare, education, government, or industrial end markets we serve could have an outsized effect on our results of operations relative to a more diversified technology company.

Risks Related to Cybersecurity and Technology

We have experienced, and may in the future experience, cybersecurity incidents that could disrupt our operations or compromise sensitive information. As described in Item 1C, “Cybersecurity,” we identified a ransomware attempt on our internal information technology systems during the year, which we detected and contained before data was exfiltrated. Future incidents, including ones affecting our managed third-party service providers, could be more severe, could disrupt our operations or those of our customers, and could result in remediation costs, litigation, or reputational harm.

Our software and instrumentation products must interoperate with a wide variety of third-party systems and data standards. Our customers often integrate our products with other software and hardware systems, including those of other vendors. Changes to third-party systems, standards, or application programming interfaces that are incompatible with our products could require costly redevelopment work and could harm customer relationships if not addressed promptly.

Risks Related to Our Financial Position

Our indebtedness could limit our operating and financial flexibility. We had approximately $6,249.6 million of short-term and long-term debt outstanding as of December 31, 2024. Our level of indebtedness could limit our ability to obtain additional financing, make us more vulnerable to adverse changes in interest rates, and require us to dedicate a portion of our cash flow to debt service rather than other corporate purposes.

General Risk Factors

Our quarterly and annual operating results may fluctuate due to factors that are difficult to predict, including the timing of acquisitions, the mix of software and instrumentation revenue, and the timing of large customer orders, which could cause our results to vary from period to period.

Item 1C. Cybersecurity

Cybersecurity Program

We maintain a cybersecurity program informed by ISO/IEC 27001 that is designed to identify, assess, and manage risks from cybersecurity threats to our information systems and the data we and our businesses process. Given the decentralized nature of our operating model, day-to-day implementation of cybersecurity controls is managed locally by each of our operating businesses within a company-wide framework of required controls, while certain monitoring and incident-response capabilities are managed centrally.

Our program includes recurring risk assessments, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that establishes procedures for identifying, escalating, containing, and remediating cybersecurity incidents. We also assess the cybersecurity practices of third-party vendors and service providers that have access to our systems or data as part of our vendor management process, and we maintain cybersecurity insurance that may offset a portion of the costs associated with certain incidents.

Cybersecurity Incidents

During fiscal 2024, we identified a ransomware attempt on internal IT systems that was detected and contained before data was exfiltrated. We do not believe this incident has had a material effect on our business strategy, results of operations, or financial condition, although we cannot provide assurance that future incidents will not be more severe. See Item 1A, “Risk Factors,” for additional discussion of cybersecurity-related risks.

Governance

Our full Board of Directors, with support from the Audit Committee, oversees our cybersecurity risk management program. Management provides the Board and the Audit Committee with periodic updates on our cybersecurity program, including the results of risk assessments, the status of our incident response capabilities, and material cybersecurity incidents, such as the ransomware attempt described above. We believe that board-level engagement on cybersecurity, rather than delegation to a single committee alone, reflects the importance we place on this area given the decentralized nature of our operations.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Amberwood Technologies Corp. is a diversified technology company operating through Software Solutions, Network Solutions, and Technology-Enabled Instruments segments. For the fiscal year ended December 31, 2024, we generated net revenues of $5,825.6 million, operating income of $1,432.8 million (an operating margin of 24.6%), and net income of $1,294.2 million (a net margin of 22.2%). Our results in 2024 continued to reflect our acquisitive growth strategy, with goodwill and acquired intangible assets together representing approximately 88.7% of total assets at year end. During the year, we completed the acquisition of Dunmore Technologies, Inc. to add a durable, high-margin niche instrumentation business to our portfolio.

Results of Operations

The following table summarizes our results of operations for the fiscal year ended December 31, 2024 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Net revenues	$5,825.6	100.0%
Cost of revenues	1,603.1	27.5%
Gross profit	4,222.4	72.5%
Selling, general and administrative expenses	2,239.3	38.4%
Research and development expenses	706.2	12.1%
Other operating items, net	(155.9)	(2.7)%
Operating income	1,432.8	24.6%
Income tax expense	138.7	2.4%
Net income	1,294.2	22.2%

Our gross margin of 72.5% reflects the high proportion of software and recurring-revenue products within our portfolio. Selling, general and administrative expenses, together with research and development expenses, represented approximately 50.5% of net revenues, consistent with our continued investment in product development and in the sales and customer-success functions that support our niche-market software businesses. Our effective tax rate for the year was 9.7%, below the U.S. federal statutory rate, reflecting the mix of earnings across the jurisdictions in which our businesses operate and the impact of research and development tax credits.

Liquidity and Capital Resources

We generated $1,717.5 million of cash from operating activities during 2024, reflecting net income of $1,294.2 million and non-cash depreciation and amortization of $688.6 million, partly offset by changes in working capital and other items. We used $2,943.0 million of cash in investing activities, primarily for the acquisition of Dunmore Technologies, Inc.; we did not make material capital expenditures during the year, consistent with the asset-light nature of our software and instrumentation businesses. Financing activities provided $885.9 million of cash, as proceeds from debt issuances more than offset $269.8 million of dividends paid to shareholders. Taken together, our cash and cash equivalents decreased by $339.7 million during the year.

As of December 31, 2024, we had total debt of approximately $6,249.6 million and stockholders' equity of $13,773.0 million. We believe our cash flow from operations, together with access to capital markets, will be sufficient to fund our operating needs, debt service, dividends, and acquisition strategy for at least the next twelve months.

Critical Accounting Estimates

Goodwill and Intangible Assets. We test goodwill and indefinite-lived intangible assets for impairment at least annually, and more frequently if indicators of impairment arise. These tests require us to estimate the fair

value of our reporting units, which involves significant judgment regarding future cash flows, discount rates, and market multiples. Because goodwill and acquired intangible assets together represented approximately 88.7% of our total assets at December 31, 2024, changes in these estimates could result in material impairment charges in future periods.

Revenue Recognition. A portion of our revenue is derived from multi-element arrangements that include software licenses, subscriptions, and services. Determining the amount and timing of revenue to recognize for these arrangements requires judgment regarding the identification of performance obligations and the allocation of the transaction price among them.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Amberwood Technologies Corp. for the fiscal year ended December 31, 2024. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$134.2
Accounts receivable, net	564.5
Inventory	85.6
Property, plant and equipment, net	126.1
Goodwill	13,196.9
Intangible assets, net	7,227.3
Other assets	1,699.6
Total assets	$23,034.1

Liabilities

Line item	Amount
Accrued liabilities	$396.1
Short-term debt	749.1
Long-term debt	5,500.5
Other liabilities	2,615.5
Total liabilities	$9,261.1

Stockholders' Equity

Line item	Amount
Additional paid-in capital	$2,545.4
Retained earnings	11,984.5
Accumulated other comprehensive loss	(130.4)
Other equity	(626.4)
Total stockholders' equity	$13,773.0

Line item	Amount
Total liabilities and stockholders' equity	$23,034.1

Consolidated Statement of Income (in millions)

Line item	Amount
Net revenues	$5,825.6
Cost of revenues	1,603.1

Line item	Amount
Selling, general and administrative expenses	2,239.3
Research and development expenses	706.2
Other operating items, net	(155.9)
Operating income	1,432.8
Interest expense	—
Income before income taxes	1,432.8
Income tax expense	138.7
Net income	$1,294.2

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$1,294.2
Depreciation and amortization	688.6
Changes in working capital and other	(265.3)
Cash from operating activities	1,717.5

Investing activities:

Line item	Amount
Other investing activities	(2,943.0)
Cash used in investing activities	(2,943.0)

Financing activities:

Line item	Amount
Dividends paid	(269.8)
Other financing activities	1,155.6
Cash from financing activities	885.9

Line item	Amount
Net decrease in cash	$(339.7)

Notes to Consolidated Financial Statements

Note 1. Goodwill and Intangible Assets Goodwill and acquired intangible assets totaled $13,196.9 million and $7,227.3 million, respectively, as of December 31, 2024, together representing approximately 88.7% of total assets. We test goodwill and indefinite-lived intangible assets for impairment at least annually; no impairment was recognized during fiscal 2024.

Note 2. Debt Total debt outstanding as of December 31, 2024 consisted of $749.1 million of short-term debt and $5,500.5 million of long-term debt.

Note 3. Income Taxes Our effective tax rate for fiscal 2024 was 9.7%, compared with the 21% U.S. federal statutory rate. The difference primarily reflects the jurisdictional mix of our earnings and the benefit of research and development tax credits.

Note 4. Commitments and Contingencies We are subject to various claims and legal proceedings arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.

Note 5. Business Combination During fiscal 2024, we acquired Dunmore Technologies, Inc. for approximately $2,943.0 million in cash, reflected within investing activities. The purchase price is reflected within the goodwill and intangible assets balances on our consolidated balance sheet. Dunmore is operated as a standalone business within our existing decentralized operating model.